ABC News; Allora! News · Senate estimates, 28 October 2026

Bullock: supply shocks make taming inflation harder

RBA Governor Michele Bullock told Senate estimates that inflation is far too high. She warned that repeated negative supply shocks worsen the trade-off the bank faces between bringing inflation down and protecting jobs.

WHAT HAPPENED

- Bullock said **negative supply shocks worsen the inflation–unemployment trade-off**, and that a run of shocks risks pushing up people's inflation expectations.
- The RBA is **updating its models** so that they recognise supply shocks better.
- She identified **data-centre and AI investment** as a source of extra demand and cost pressure in some technology markets. She also said Australia's inflation problem began before the latest energy shock.
- **House prices** are about 50% above early-2020 levels, although they have fallen in most capitals recently. She said the RBA does not set rates to target property prices.
- Deputy Governor **Andrew Hauser** called the September CPI too high but broadly in line with what the RBA had expected.

Key terms: supply shock · stagflation · inflation expectations · trade-off

BY THE NUMBERS

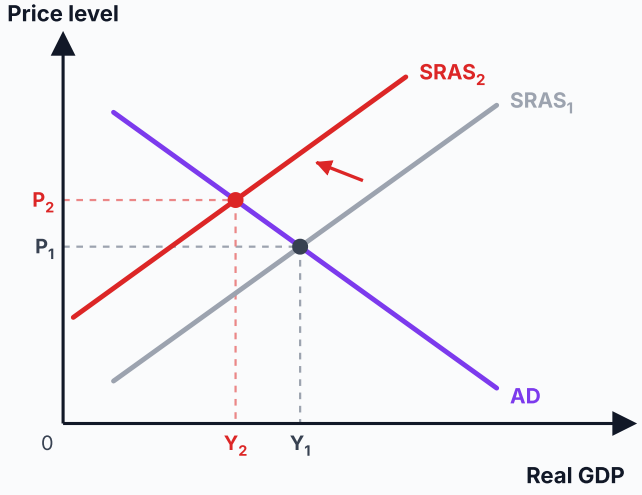
4.3%
Annual CPI, September 2026

4.60%
Cash rate after four rises in 2026

~50%
Rise in house prices since early 2020

2–3%
RBA inflation target band

DIAGRAM A negative supply shock: higher prices and lower output (illustrative)



Higher energy costs raise firms' production costs, so short-run aggregate supply shifts from **$SRAS_1$ to $SRAS_2$**. The price level rises from **P_1 to P_2** while real GDP falls from **Y_1 to Y_2**.

This is the RBA's dilemma. Raising rates shifts AD left, which lowers inflation but deepens the fall in output and jobs. Holding back risks higher prices **becoming embedded in expectations**.

Exam angle: monetary policy acts on **demand, not supply**. It cannot fix the source of a supply shock, which is a key limitation to discuss in Topic 4 answers.

SYLLABUS LINK

Topic 4 – Limitations of monetary policy (supply shocks, inflation expectations, time lags). Topic 3 – causes of inflation (cost-push).

TRY THIS

Using an AD/AS diagram, explain why a negative supply shock creates a policy dilemma for the Reserve Bank. **(5 marks)**

ABC News, 'ASX surrenders big gains as market puts chance of November hike near 90pc — as it happened', 28 Oct 2026 – https://www.abc.net.au/news/2026-10-28/asx-markets-business-live-news/107316614
Allora! News, 'RBA sees no near-term recession as Michele Bullock warns inflation is "far too high"', 28 Oct 2026 – https://alloranews.com/economia/rba-sees-no-near-term-recession-as-michele-bullock-warns-inflation-is-far-too-high/